



CFE Information Circular IC06-03

Date: March 22, 2006

To: CFE Trading Privilege Holders

From: CBOE Futures Exchange

Re: Solicitation for Designated Primary Market Maker (DPM) Appointments

CBOE Futures Exchange (CFE) is requesting new applications from organizations that are current Trading Privilege Holders (TPHs) interested in becoming a Designated Primary Market Maker (DPM) for CFE National Association of Realtors (NAR) Existing-Home Sales Median Price futures contracts.

Through a licensing agreement with NAR, CFE has created five Existing-Home Sales Median Price futures contracts that track the median sales prices in the U.S. overall, and four regions within the U.S.: Northeast, South, Midwest and West. These contracts will settle monthly. An additional 10 contracts based on various metropolitan area markets will also be launched. Those contracts will settle quarterly. CFE plans to launch the new contracts in the second quarter of 2006, pending regulatory approval.

Those organizations wishing to apply for a DPM appointment in one or more of these products should be experienced in trading options and futures on broad-based indices, have experience trading interest-rate products and have significant resources and capital. DPM appointments are generally for a specified period of time, not less than one year, and require a contractual agreement with CFE. It is expected that there will be a market maker incentive program for this product and that the DPM will receive preferential incentives.

Organizations wishing to apply for an appointment as a DPM in the CFE NAR Existing-Home Sales Median Price futures contracts should submit an application in the form of a letter outlining the organization's qualifications and commitments with regard to market depth, bid/ask spread, marketing efforts, etc.

Completed applications should be submitted by Friday, April 7, 2006. Questions regarding the application process may be directed to Patrick Fay at (312) 786-7925, fayp@cboe.com or Jay Caauwe at (312) 786-8855, caauwe@cboe.com.